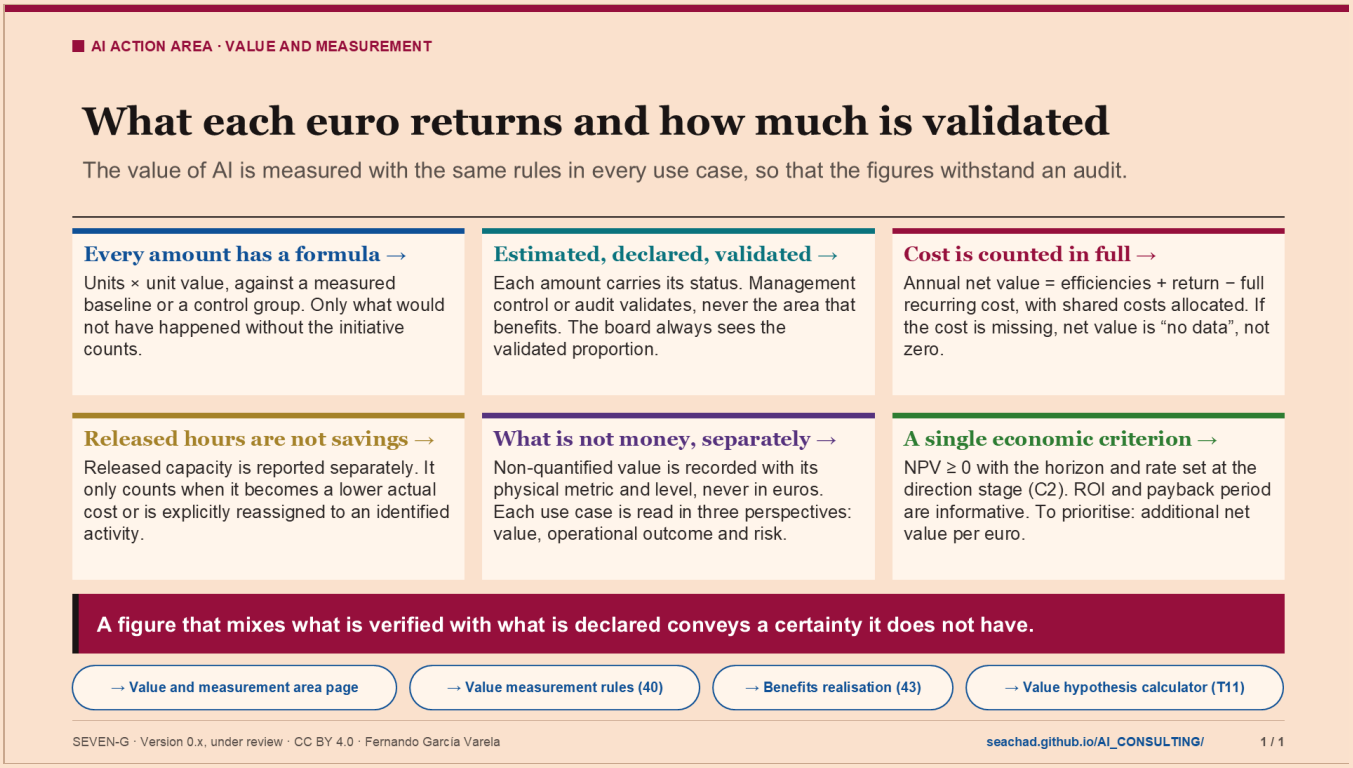


Notes

This slide summarises the Value and measurement action area of SEVEN-G. It answers a question every board asks: what each euro invested in AI returns and how much of that figure has been verified. AI value figures tend to be inflated, and not out of bad faith. Hours are added up as if they were savings, recurring cost is forgotten, or two initiatives claim the same effect. SEVEN-G applies the same ten measurement rules to every use case, in every phase and in every report.

The six blocks, one by one:

- Every amount has a formula. Each value line is broken down into a physical magnitude (hours, files, errors, customers) and a unit value with a source. The magnitude is the difference against the baseline, measured before the hypothesis gate (G2), or against a control group. That way, AI is not credited with what would have happened anyway.
- Estimated, declared, validated. The responsible area declares the value. Management control or audit validates it over a closed period, with traceable data. Whoever benefits from the figure never validates it. Validated value expires after 12 months, as a guide, and is revalidated every year. The board always sees the validated proportion next to each total.
- Cost is counted in full. Annual net value is efficiencies plus return minus recurring cost. Cost includes the share of shared costs (licences, platforms, common teams) and is deducted from day one, whether or not the value is validated.
- Released hours are not savings. If people stay on the payroll doing the same work with more slack, the income statement does not change. Hours only count when there is a lower actual cost (for example, an outsourcing contract that is not renewed) or an explicit reassignment, with an owner and a date.
- What is not money, separately. An improvement with no demonstrable economic relationship is recorded as non-quantified value, with its dimension, its level from 0 to 3 and its physical metric. It is never translated into euros. Each use case is presented in three perspectives side by side: economic value, operational outcome and risk exposure.

- A single economic criterion. The use case is viable if its net present value is zero or more, with the horizon and rate the company sets. ROI and payback period are calculated, but they do not decide. To choose where to invest the next euro, the additional net value per additional euro invested is used.

Why it matters. The board decides with figures. If it does not know which part has been verified, it decides with a certainty it does not have. Document 40 includes a summary template, with fictitious data, in which the portfolio shows €510,000 of annual net value according to what is declared, but –€50,000 with validated value only. These are two very different readings of the same portfolio.

Question for the classroom: in your organisation, who signs off the savings figures of an AI project today? Is it the same area that benefits from them?

To go further, open the area page, document 40 (value measurement rules), 42 (costs), 43 (benefits realisation) and 41 (indicator catalogue). The value hypothesis calculator (T11) applies the formulas with fictitious example data.

SOURCES AND LINKS

- **Value and measurement area page** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/areas/valor.html
- **Document 40 · Value measurement rules** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/40_SEVEN-G_Reglas_de_medicion_del_valor.html
- **Document 40 §11.2 · Value summary template (fictitious data)** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/40_SEVEN-G_Reglas_de_medicion_del_valor.html#11-2-value-summary-template
- **Document 42 · AI costs** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/42_SEVEN-G_Costes_de_IA.html
- **Document 43 · Benefits realisation** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/43_SEVEN-G_Realizacion_de_beneficios.html
- **Glossary (document 02) · Amount statuses** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/02_SEVEN-G_Glosario_y_convenciones.html#4-4-amount-statuses
- **Value measurement rules (40)** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/40_SEVEN-G_Reglas_de_medicion_del_valor.html
- **Benefits realisation (43)** https://seachad.github.io/AI_CONSULTING/SEVEN-G/html/en/43_SEVEN-G_Realizacion_de_beneficios.html
- **Value hypothesis calculator (T11)** https://seachad.github.io/AI_CONSULTING/SEVEN-G/herramientas/T11_calculadora_valor/calculadora.html

LEGAL NOTICE

Legal notice: a generic, free methodological aid provided "as is" for information purposes; it is not legal advice and has not been legally reviewed for any case. Each organisation adapts it and is responsible for its legal review and its regulatory compliance; it may not reflect recent regulatory changes. To the fullest extent permitted by law, the author accepts no liability whatsoever for the effects of its application. It does not grant certification of any kind. Details in document 93.

CC BY 4.0 (content) · MIT (code) · Fernando García Varela · seachad.github.io/AI_CONSULTING/